



THEA GOLDEN hugs Heather, who was attending a weekly meeting for community members in recovery in the backyard of Golden's home in Los Angeles. The ADU in the background is a women's sober living home.

A call to include sober living in fight to end homelessness

After a long journey of personal recovery and years volunteering as a substance abuse peer counselor, Thea Golden launched her own recovery home.

She and her husband, Tyler, bought a house in the Jefferson Park neighborhood west of USC, turned an illegally converted garage into a permitted ADU, formed a nonprofit and put out word through their unofficial social services network that they had two beds for wom-

State lawmakers rethink 'housing first' policy that denies funding for programs that require abstinence

By Doug Smith

en seeking a sober environment.

Her tiny program, LA Recovery Connect, opened in 2021. Since then, five enrollees have lived in the unit behind their home and moved on to their own housing — two reunited with family and three into their own homes paying their own way.

Now Golden wants to buy or lease another house and add four or five more beds. But even [See **Sobriety**, A7]

California faces an additional budget deficit of \$12 billion

The new shortfall comes on top of \$27.3 billion in fiscal remedies already planned for 2025-26.

By Taryn Luna

California is facing an additional \$12-billion state budget shortfall next year, a deficit largely caused by overspending that Gov. Gavin Newsom said was made worse by President Trump's federal tariff policy.

"California is under assault," Newsom said. "The United States of America, in many respects, is under assault because we have a president that's been reckless."

Newsom unveiled the forecast during a presentation Wednesday of his \$321.9-billion revised spending plan that proposes walking back free healthcare for low-income undocumented immigrants, eliminating Medi-Cal benefits for expensive weight loss treatments and cutting back overtime hours for in-home supportive service workers, among dozens of other trims.

The new deficit comes in addition to \$27.3 billion in fiscal remedies, including \$11.2 billion in cuts and a \$7.1-billion withdrawal from the state's rainy day fund, that lawmakers and the governor

already agreed to make in 2025-26.

The overall shortfall marks the third year in a row that Newsom and lawmakers have been forced to reduce funding for state programs after dedicating more money than California has available to spend.

Though Newsom said his plan still provides significant funding for Californians in need of government support, his proposed cuts received fierce pushback from unions and other advocacy groups often allied with Democrats.

"While California leads the fight against Trump's extremist attacks on our neighbors, our co-workers and our families, we must stand strong behind our values here at home," said David Huerta, president of SEIU California, in a statement. "Instead, the governor's proposed budget reads more like a CEO wishlist — sticking it to the working poor to protect tax breaks for the rich, and continuing to hollow out good, middle-class jobs."

New budget cuts proposed

Among the new cuts Newsom put on the table Wednesday is a call to cut back on his signature policy to provide free healthcare coverage to income-eligible undocumented immigrants. [See **Budget**, A6]

THE WIDE SHOT

Suspense over the summer box office

Executives hope a lineup of existing intellectual property can win big, but it's an unpredictable season.

By Ryan Faughnder

Summer movie season is here, which means another season chock full of sequels, "re-imagined" classics and, yes, a smattering of risky originals.

If you already believe that Hollywood is out of ideas, you won't find much contradictory evidence at the local multiplex in the coming months. As much as audiences say they crave originality, how they actually spend their money tells a different tale, with 2024's full-year top 10 completely dominated by existing intellectual property.

So studios are sticking with what has worked before.

Will it work again?

Some studio executives anticipate that the summer box office — which runs from the first weekend in May through Labor Day — will generate close to \$3.75 billion in domestic ticket sales. That would be up slightly from last year, but still down significantly from pre-pandemic levels. Others anticipate a total of \$3.5 billion, which would mark a decline from a year ago. [See **Wide Shot**, A9]



KEVIN CARTER Getty Images

APPLE'S tech products, including the iPhone, are free from President Trump's 30% tariffs on China only temporarily, as national security concerns are reviewed.

Despite the trade truce with China, Silicon Valley isn't out of the woods

Tech companies are still trying to navigate an uncertain tariff rate and the possibility of added import duties.

By Michael Wilner

WASHINGTON — Markets rejoiced this week over news that the Trump administration, after six weeks of maximalist rhetoric, had struck a preliminary deal

with China to lower tariff rates between the two countries. Tech stocks led the rally, with investors hopeful that President Trump had finally retreated from plans for a protracted trade war with a vital trading partner.

But the celebration may be premature, industry insiders, foreign diplomats and market experts said, telling The Times that Silicon Valley will face strong headwinds in the months ahead — the makings of a perfect storm of uncertainty that could still tip the U.S.

economy into recession.

Wall Street reacted with similar exuberance last month on word that tech products, such as smartphones and computers, would be exempt from Trump's 145% tariffs on China — a figure that was reduced in the deal struck on Monday to 30%, marking a significant reduction, but still far higher than tariffs have ever been on Chinese imports.

And yet the April 12 White House announcement out- [See **Trade**, A7]

Officers are winning massive payouts in 'LAPD lottery' suits

In the last five years, the city has shelled out nearly \$70 million for workplace verdicts or settlements.

By Libor Jany

In police circles, it's known as the "LAPD lottery."

Speaking at a city budget presentation this month, Los Angeles Police Department Chief Jim McDonnell said some officers have sought to "weaponize" the department's disciplinary system to settle grievances, leaving city taxpayers on the hook for the legal bills.

Los Angeles has paid out at least \$68.5 million over the last five years to resolve lawsuits filed by officers who claimed to be victims of sexual harassment, racial discrimination or retaliation against whistleblowers, according to a Times analysis of payout data released by the city attorney's office.

Skeptics inside the department write off the claims as opportunistic officers trying to hit the jackpot, twisting paper trails created by the department's much-maligned internal discipline

system into the basis for lawsuits.

But the officers who sue and their attorneys claim that the department's continued failure to thoroughly investigate complaints or fix systemic issues leaves no other recourse.

Several recent civil trials have resulted in settlements or jury awards in the seven figures or more, including \$11.5 million to a former K-9 officer who alleged that colleagues spread false rumors about him and mocked his Samoan heritage. Dozens of other suits remain pending, probably leaving the city staring down more substantial payouts in coming years.

The question of how to deal with the suits has emerged as one of the most pressing issues since McDonnell's tenure as chief began in November. Mayor Karen Bass has said the city's \$1-billion budget deficit is at least partly driven by expensive legal payouts, as well as emergency response costs related to the Palisades fire and "downward national economic trends."

Last year, the LAPD's private fundraising arm gave \$240,000 to hire an outside consultant to help the department analyze "the results of litigation to see if [See **LAPD**, A12]

Syrian president and Trump meet

Al-Sharaa is urged to expel "Palestinian terrorists" and sign on to accords. **WORLD, A3**

Succession talk rages at Disney

Theme parks boss Josh D'Amaro, whose stock has risen, touts his division. **BUSINESS, A8**

A look inside the 2025 NFL season

Highlights include the Chargers game in Sao Paulo and scheduling czar's exit. **SPORTS, B10**

Weather

Mostly sunny. L.A. Basin: 74/56. **B6**

Markets **A9**
Opinion Voices **A10**

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